

Notice that the majority—65%—of Mario’s payment (\$77.50 of the \$120) is now going toward interest, not the principal. Although Mario is frustrated that so much of his money is wasted on interest, he continues to use his credit card, and each month his “amount owed” continues to rise. After another three months, he owes \$8,000, which can be seen in Table 6.4.

Table 6.4. Mario’s credit card statement with an \$8,000 balance

Amount owed	Minimum payment (2%)	Interest per month at 15.5%	Amount owed after payment
\$8,000	\$160	\$103.33	\$7,943.33

Mario is really getting into trouble now. His monthly minimum payment is going up because the amount he owes is increasing, but he is still not making much of a dent in the principal. The monthly payment has now gotten so high that he can’t afford to pay the bill. Table 6.5 shows his dire situation after he misses two months of payments and his credit card company raises his APR from 15.5% to 25.5%.

Table 6.5. Mario’s credit card statement after missing two payments

Amount owed	Minimum payment (2%)	Interest per month at 25.5%	Amount owed after payment
\$8,148	\$163 + \$10.15	\$173.15	\$8,158

Now, Mario is in a hole that is going to be extremely difficult to get out of. He needs to pay an additional \$10.15 on top of his minimum payment just to cover the interest on his debt. This means his entire payment is now going toward interest. After he pays the \$173.15, he still owes the exact same amount.